

What Ended Was the Selling

Thursday's reversal has an explanation the tape prefers and an explanation the tape cannot see, and only one of them is tradable.

THE READING

The Nasdaq rose 2.78% on Thursday to 25,122.18, snapping a six-day losing streak. The S&P 500 gained 1.66% to 7,437.63 — twenty-four points under the top of Hedgeye's 7,276–7,462 range, two days after breaking the floor of it. The VIX fell 17.3% to 17.09. Microsoft added roughly \$450bn of market value, the largest single-day gain by any company on record.

Two things did not join. The thirty-year yield sat at 5.21%, unchanged at a nineteen-year high. High-yield credit was downgraded to bearish on the same morning equity volatility collapsed. Underneath it, a \$24bn fund was compelled to liquidate its entire public book into Thursday's open, and JPMorgan told clients the deleveraging in chips was now essentially finished.

The mood is relief.

WHAT WISDOM WOULD SAY

Daniel Kahneman's name for the move is substitution: faced with a hard question, the mind quietly answers an easier one and does not notice the swap. The hard question on Thursday was why a punishing factor unwind stopped on that particular morning. The easy question — what good news came out? — had ready answers: Samsung warning that the memory shortage could run to 2028, Azure past \$100bn of annual revenue. Both are real. Neither explains the timing.

The mechanical answer does. A forced seller ran out of stock to sell. That is not a thesis, and it does not survive being turned into one, because it says nothing about what the assets are worth — only that for a few weeks the price carried the cost of somebody else's unwind, and now it does not.

Kahneman's companion observation is that we build the best story available out of what is visible, and fail to discount it for what is missing. Supply of stock disappearing is not visible. It produces no headline anyone can hold.

THE RISK IT JUSTIFIES

A clearing event removes a reason to be short. It does not supply a reason to be long. The difference shows in where the index sits: 7,437.63 is 0.33% below the ceiling of a band whose floor broke on Wednesday — a 161-point round trip inside one range in two sessions. Buying the top of a range is a different act from buying a recovery, whatever the day felt like.

So this is a session to let pass rather than fade. The seller is genuinely gone, and fading exhausted selling is expensive. But if size was going to be added, Wednesday was the day, and Wednesday was uncomfortable, which is the usual arrangement.

What would change the answer: a second close above 7,462 with credit following it — high-yield back to neutral — or the thirty-year easing off 5.21%. Until one of those happens, the equity signal and the credit signal disagree, and credit is the one carrying the discount rate.

Which of this morning's reasons would you still believe if the price had gone the other way?